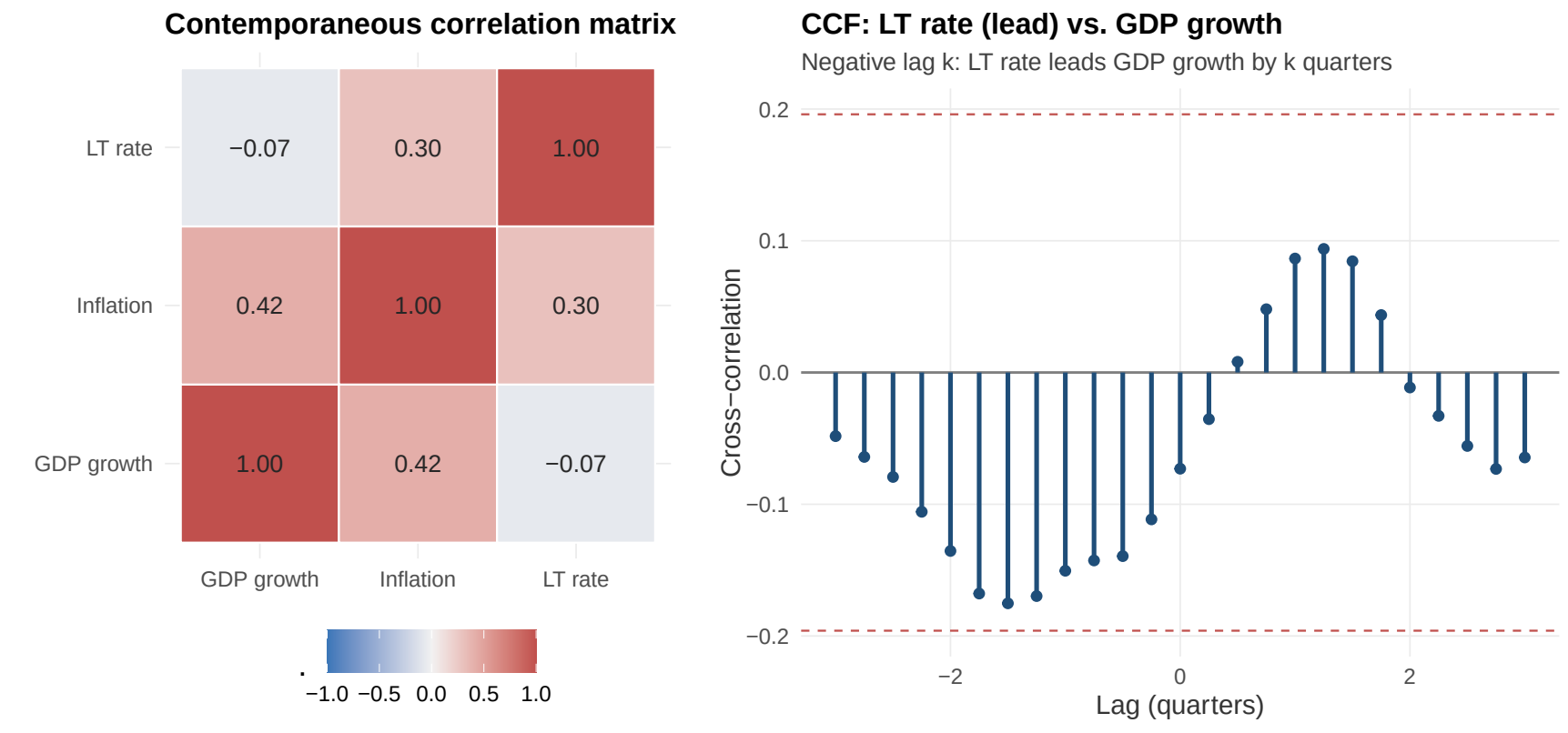
Contemporaneous correlation matrix
LT rate
Inflation
GDP growth
−0.07
0.30
1.00
0.42
1.00
0.30
1.00
0.42
−0.07
GDP growth
Inflation
LT rate
−1.0 −0.5 0.0 0.5 1.0
CCF: LT rate (lead) vs. GDP growth
Negative lag k: LT rate leads GDP growth by k quarters
0.2
0.1
0.0
−0.1
−0.2
Cross−correlation
−2
0
2
Lag (quarters)